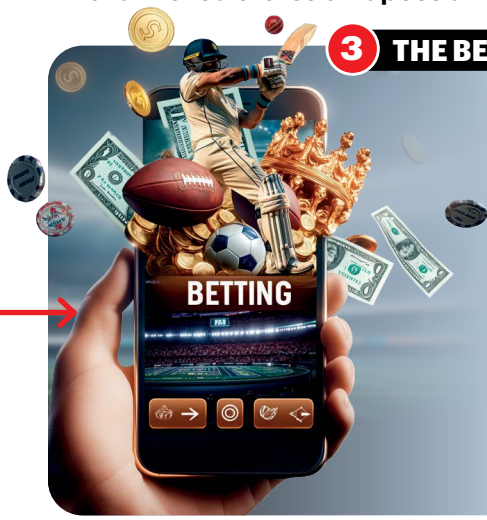
How an offshore betting empire allegedly recruited local operators, ran thousands of betting panels and channelled crores of rupees through mule accounts



3 THE BETTOR

- Bettors found phone numbers via advertisements in closed WhatsApp/ Telegram groups and called a central call centre
- The call centre, as per investigators, routed callers to available operators, who shared betting options, accepted wagers etc.
- Bets, often as little as ₹300-1,000, covered cricket, other wagers

4 THE MULE ACCOUNT

- Bettors received bank details for deposits and payouts. Deposits were routed through payment intermediaries and allegedly layered across multiple mule accounts, disguised as routine commercial transactions
- At its peak, the network reportedly handled over ₹240 crore in bets a day, using more than 800,000 accounts, mostly opened with the identity documents of unsuspecting Indians



5 THE GETAWAY



- Proceeds, according to ED, were transferred offshore via hawala channels and invested in assets, businesses and cryptocurrency
- More than ₹1,000 crore of Mahadev's earnings allegedly flowed back into Indian markets disguised as foreign portfolio investment
- Shell companies obscured fund flows; multiple websites and bank accounts kept the network running despite domains being blocked and accounts frozen

ONLINE BETTING MOVED GAMBLING FROM THE NETWORKS OF LOCAL DENS AND BOOKMAKERS TO MOBILE PHONES



operators collecting large sums from Indian customers while allegedly evading taxes. And there was the financial crime dimension: the suspected use of thousands of bank accounts, shell companies, hawala channels and cryptocurrencies to conceal the movement of money. In March 2025, the Directorate General of GST Intelligence (DGGI) announced that around 700 offshore gaming entities were under scrutiny for suspected tax evasion. It had blocked 357 websites and URLs, and frozen nearly 2,400 bank accounts.

ENTER REGULATION

Understanding the magnitude of the problem, the Narendra Modi government in August 2025 got Parliament to pass the Promotion and Regulation of Online Gaming Act, introducing a nationwide prohibition on 'online money games'. The law came into force this year in May, along with the rules required to implement it. Its most significant feature was the removal of the old distinction between games of skill and those of chance for the purpose of the prohibition. Under the new law, an online game involving monetary stakes could be prohibited regardless of whether winning depended on knowledge, judgement, experience or luck.

This meant the ban extended beyond online betting and gambling to domestic real-money gaming businesses—even covering platforms that operated from outside India. The law prohibited advertising and promotion of online money games and barred banks and payment systems from processing related transactions. Operators offering prohibited games, or facilitating transactions, now faced up to three years in prison, a fine of up to Rs 1 crore, or both. Those advertising them faced up to two years in prison and a fine of up to Rs 50 lakh. The statute was meant to operate alongside existing central and state laws, overriding them to the extent of any inconsistency. Alongside, the government set up the Online Gaming Authority of India to administer the new framework, distinguish prohibited money games from permissible online social games and e-sports, and coordinate action against unlawful services.

The legislation, however, was controversial. India's domestic gaming companies argued that the government had effectively equated legitimate, skill-based businesses with illegal gambling syndicates. Industry representatives warned of destroyed enterprise value, job losses and lost tax revenues. Even as all such platforms have since ceased real-money gaming operations in India, several challenged